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2025-26 Budget Development

Board of Education Work Session

March 18, 2025 Work Session

Agenda

- Share and Discuss **Preliminary School Staffing**
- Share and Discuss Updated **Preliminary Reductions**
- Share and Discuss **Legislative Updates**

Preliminary School Staffing

Vision for School-Based Resources

Our focus has been to maintain investments that have the **biggest impact on student outcomes** while supporting fiscal sustainability in our system.

We emphasized **school flexibility and stability** as much as possible.

Preliminary School Staffing

- ➔ School staffing changes have been applied at all school levels
  - ◆ We **intentionally did not raise class size** across the board
    - Some bumps in FTE were removed based on school status
  - ◆ We have **retained strategic school supports**, although in some cases at a decreased level (for example, all schools will have at least a 0.5 FTE School-Based Instructional Coach to support teachers)
    - **Flexibility was added** to allow principals to accommodate needs in their schools with some allocations
  - ◆ Enrollment decline contributes to about 9% of school-based FTE reductions
  - ◆ We have adjusted our preliminary school staffing reductions plan based on feedback, overall **adding back 37 FTE to schools**
- ➔ **Pre-Kindergarten** programming is continuing at the same level
- ➔ **Equity formula** is not changing

DRAFT: Estimates are preliminary and may change during the budget process.

Preliminary School Staffing

- **Elementary School and K8 School**
  - Grade levels will be blended in upper elementary with school-based flexibility to blend specific levels between grades 3-5 based on school-specific needs
  - Kindergarten Educational Assistants are prioritized for Title I schools
  - Schools will retain support from a 1.0 School-Based Instructional Coach
    - With flexibility for 0.5 Academic Interventionist
  - International Baccalaureate (IB) supports are no longer allocated due to a lack of IB pathways to upper grades
- **Middle School**
  - A minimum class size of 15 students has been established
  - Dual Language Immersion supplemental resources are aligned to enrollment-based need
  - Title I supplemental resources are reduced from a base of 2.0 to 1.0
  - Schools will retain support from a School-Based Instructional Coach and receive discretional FTE with a choice of Instructional Coach, Restorative Justice Coordinator, School Climate Specialist, or Social Worker

Preliminary School Staffing

- **High School**
  - A minimum class size of 15 students has been established
  - Reduction of Career Coordinator funded by General Fund
    - Schools have **flexibility** to select a Career or College Coordinator funded by General Fund
    - High schools continue to receive a College Coordinator allocation funded by High School Success (M98)
- **Multilingual Learners**
  - Itinerant staff **will continue** to provide support to schools with fewer students needing services
  - Weighting has changed so **all schools** receive FTE based on student need (Newcomer/PISA students get the highest weight)
- **Special Education**
  - Special Education staffing is enrollment-based; *no significant changes are planned for next year*

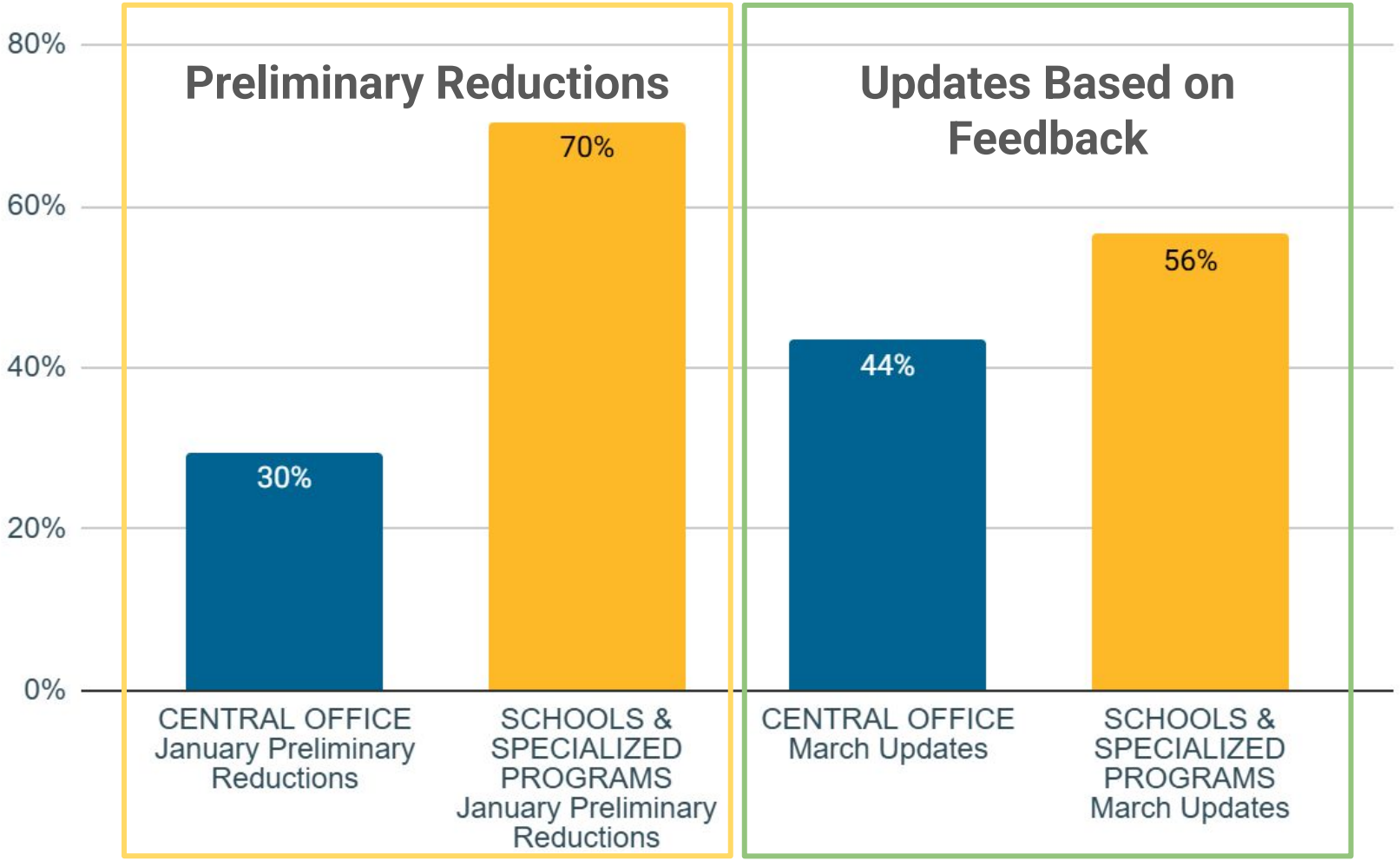
Central Office Preliminary Reductions Summary

Central Office personnel and non-personnel budgets will be reduced next school year.

- ➔ Non-personnel reductions are focused in:
  - Contracted services
  - Professional development
  - Travel
- ➔ More information on Central Office personnel and program reductions will be available when the Proposed Budget is released.

[UPDATED] 2025-26 Proposed Reductions

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TOTAL ESTIMATED REDUCTION

$40,000,000

DRAFT: Estimates are preliminary and may change during the budget process.

2025-26 Additional Considerations

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- **Federal Funding Reductions**
  - We are planning for a **25% reduction in Title I** programs; this will result in additional school-based position reductions.
  - **Additional federal programs may also be reduced**, potentially impacting programming for students and professional development for staff.
- **Other Programs**
  - Sunsetting grant-funded programs may result in additional position reductions.

Oregon Legislative Updates - Key Dates

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Governor's Recommended Budget Released	December 2024
2025 Legislative Session Convenes	January 21, 2025
Measure Introduction Deadline	February 25, 2025
February Revenue Forecast	February 26, 2025
Ways and Means Co-Chairs Budget Released	Mid-March 2025
May Revenue Forecast	May 14, 2025
2025 Legislative Session Adjourns	June 28, 2025

Legislative Updates - Key Bills

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- Special Education Funding Bills
  - **HB 2953** - lifts the cap on SPED funding
  - **HB 2448** - fully funds the High-Cost Disability Account
  - Regional Inclusive Funding (RIS) - **$50 M additional investment**
  - EI/ECSE - **$40 M additional investment**
- **HB 3435 -** School Meals for All
- **HB 3039 -** Summer Learning
- **HB 3040 -** Early Literacy Initiative
- **SB 580** - Mandating Class Size Bargaining

Legislative Updates - March Revenue Forecast

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- On February 26, lawmakers received the March forecast and revenue update. Budget writers learned they have an additional **$350 million** to spend during the 2025-27 biennium. Oregon's state economists are noting that a **"potential variance" can swing up to $500 million either way in the foreseeable future.**
- With this latest economic data, Oregon is still expecting a **kicker for 2025 tax return filers of $1.7 billion**.
- **The next forecast is scheduled to be released on May 14** and serves as the foundation for the 2025 legislatively adopted budget.

Questions & Discussion

Appendix

Financial Pressures Contributing to Our Shortfall



Rising Costs

Inflation has resulted in higher costs of goods and services.

We have invested in our employees' compensation and teacher planning time. PERS costs are also rising.

Our student needs continue.



Limited Revenue

Our state dollars continue to fall short of the costs to operate our schools.

We have less special revenue, including the end of federal pandemic aid.



Declining Enrollment

We have fewer students and the same number of buildings.

Our funding is dependent upon number of students.

Since 2020, PPS's student enrollment has declined 10.8%, faster than Oregon's (6.5%), and is projected to continue to decline.

Our Why

Our mission is to educate all children to their highest potential to be productive, respectful, self-reliant, and responsible citizens who value the richness of diversity.

PPS reImagined

Preparing Our Students to Lead Change and Improve the World

- ➔ Educational System Shifts
- ➔ Educator Essentials
- ➔ Graduate Portrait

Forward Together

Strategic Plan for Racial Equity, Inclusion, and Excellence

- ➔ Racial Equity & Social Justice
- ➔ Inclusive & Differentiated Learning
- ➔ Professional Excellence & Support
- ➔ Embracing Change

Board of Education Goals

Eliminate Opportunity and Outcome Gaps

- ➔ Third Grade Reading
- ➔ Fifth Grade Math
- ➔ Eighth Grade Readiness
- ➔ High School Graduation

[UPDATED] 2025-26 Proposed Reductions

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CENTRAL OFFICE	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL ESTIMATED REDUCTIONS	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Classified Staff	-900,000	-7	0	0	-900,000	-7
Senior Leadership Staff	-1,500,000	-6	-400,000	-2	-1,900,000	-8
Licensed Staff	-600,000	-4	0	0	-600,000	-4
Non-Represented Staff	-400,000	-3	-2,300,000	-15	-2,700,000	-18
Administrator	-400,000	-2	0	0	-400,000	-2
Grant Program Ending (Match Requirements)	-700,000	-1	0	0	-700,000	-1
Central Office Travel	-200,000	0	0	0	-200,000	0
Facilities Services Reduction	-200,000	0	0	0	-200,000	0
Let's Talk Contract	-100,000	0	0	0	-100,000	0
Non-Personnel	-800,000	0	0	0	-800,000	0
Personal Services (Contracts)	-3,400,000	0	0	0	-3,400,000	0
Professional Development (Reduce Four Teacher Professional Learning Days)	-2,200,000	0	0	0	-2,200,000	0
Racial Equity & Social Justice Partnership Contracts (Total 10% Reduction)	-400,000	0	-400,000	0	-800,000	0
Security (Reduce Campus Safety Associate Overtime)	-300,000	0	0	0	-300,000	0
Transportation - Limit Charter Bus Use	-100,000	0	+100,000	0	0	0
Additional Central Office Reductions (Final Amount and Details Pending)			-2,200,000	Pending	-2,200,000	Pending
Central Office Total	**-$12,200,000**	**-23**	**-$5,200,000**	**-17 [Pending]**	**-$17,400,000**	**-40 [Pending]**

DRAFT: Estimates are preliminary and may change during the budget process.

[UPDATED] 2025-26 Proposed Reductions

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ELEMENTARY SCHOOL SEE *MULTIPLE SCHOOL LEVELS* FOR CHANGES	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL ESTIMATED REDUCTIONS	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Kindergarten Educational Assistants at class size of 20 in Title I schools only (Classified Staff Reduction) (39% reduction)	-1,200,000	-18	0	0	-1,200,000	-18
Licensed and Classified Staff Reduction Due to Enrollment Decline	-800,000	-6	0	0	-800,000	-6
Reduce K-5 International Baccalaureate Programming	-500,000	-3	0	0	-500,000	-3
Elementary School Total	**-$2,500,000**	**-27**	**0**	**0**	**-$2,500,000**	**-27**

K-8 SCHOOL SEE *MULTIPLE SCHOOL LEVELS* FOR CHANGES	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Licensed and Classified Staff Reduction Due to Enrollment Decline	-1,200,000	-8	0	0	-1,200,000	-8
K-8 School Total	**-$1,200,000**	**-8**	**0**	**0**	**-$1,200,000**	**-8**

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[UPDATED] 2025-26 Proposed Reductions

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MIDDLE SCHOOL SEE *MULTIPLE SCHOOL LEVELS* FOR CHANGES	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Remove Dual Language Immersion Supplemental Staffing	-1,400,000	-10	0	0	-1,400,000	-10
Reduce Title I Supplemental Staffing	-800,000	-6	0	0	-800,000	-6
Licensed and Classified Staff Reduction Due to Enrollment Decline	-200,000	-1	0	0	-200,000	-1
Middle School Total	**-$2,400,000**	**-17**	**$0**	**0**	**-$2,400,000**	**-17**

HIGH SCHOOL	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
High School Staffing Formula Increase By One Student	-2,800,000	20	+2,800,000	+20	0	0
Classified Staff			-1,200,000	-9	-1,200,000	-9
Discontinue High School "Targeted School Improvement" Staffing Allocation	-2,100,000	15	0	0	-2,100,000	-15
High School Total	**-$4,900,000**	**35**	**+$1,600,000**	**+11**	**-$3,300,000**	**-24**

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[UPDATED] 2025-26 Proposed Reductions

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MULTIPLE SCHOOL LEVELS	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Licensed Supplemental Staff (Instructional Coach, Interventionists, Social Emotional Supports, School Site Instructors)	-10,400,000	-69	+5,400,000	+32	-5,000,000	-37
Program Balancing Pool of Licensed Staff	-2,500,000	-20	0	0	-2,500,000	-20
Promote Blended Classrooms			-2,600,000	-17	-2,600,000	-17
Program Balancing Pool of Administrators	-2,800,000	-14	+1,400,000	+7	-1,400,000	-7
Program Balancing Pool of Licensed Staff (Southeast Guiding Coalition)	-1,400,000	-10	0	0	-1,400,000	-10
Multiple School Levels Total	**-$17,100,000**	**-113**	**+$4,200,000**	**+22**	**-$12,900,00**	**-91**

SPECIALIZED PROGRAMS	PRELIMINARY		ADJUSTMENT BASED ON FEEDBACK		TOTAL	
Description	Projected Savings	Position Change	Projected Savings	Position Change	Projected Savings	Position Change
Balancing ELD (English Language Development) Staffing	-1,000,000	-7	-700,000	+4	-300,000	-3
Specialized Programs Total	**-$1,000,000**	**-7**	**-$700,000**	**+4**	**-$300,000**	**-3**

GRAND TOTAL	$40,000,000	210

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Board Adoption Timeline: Spring 2025

Day	Date	Engagement
Tuesday	Mar 4	Board Budget Work Session with Community Budget Review Committee
Tuesday	Mar 18	Board Budget Work Session
Tuesday	Apr 22	Board Meeting: Superintendent Delivers the 2025-26 Proposed Budget
Tuesday	May 1	School Board Public Comment Session on the 2025-26 Proposed Budget
Tuesday	May 6	Community Budget Review Committee Presents Reports to School Board
Tuesday	May 20	Board Meeting: School Board as a Budget Committee Approves the 2025-26 Proposed Budget
Tuesday	June 10	TSCC Hearing: Tax Supervising and Conservation Commission Certifies the 2025-26 Approved Budget
Tuesday	June 10	Board Meeting: School Board Adopts the Approved 2025-26 Budget

Advocacy

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PPS will pursue the following budget priorities in

2025 Legislative Session Advocacy:

- ➔ Invest in High Quality Education
- ➔ Pass the Governor's Recommended Changes to the Current Service Level (CSL)
- ➔ Fully Fund Recent Mandates and New Initiatives
- ➔ Fully Fund Special Education Services
- ➔ Funding for Student Supports
- ➔ Maintain Sustainable Funding
  - ◆ School nutrition programs, extended learning opportunities, and early literacy
  - ◆ Currently on 2025 Oregon Legislative Agenda: HB 3039 Directs ODE to study ways to increase summer and afterschool programs
- ➔ Additional Funding
  - ◆ Facility improvements, curriculum, transportation, green schoolyards, cyber security, and healthcare access

State Advocacy

State Advocacy Toolkit

Get involved and help Oregon students achieve their highest potential!

- → Legislative Engagement
- → External Engagement
- → Templates and Scripts

Budget Feedback Form

Share Comments with District Leadership

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Public Comment

Share Public Comment with the Board of Education

publiccomment@pps.net

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